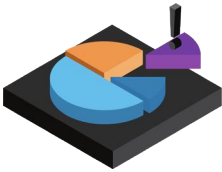


Instead of developing a subjective opinion on the influence of each force on the industry, the we must make an effort to bring objectivity to the process. This is done by breaking down each force into a series of questions and trying to evaluate the impact through each of these questions. These questions relate to the factors that determine the overall influence of each force on the profitability of the industry.



Supplier Power

Supplier power refers to

- The bargaining power that suppliers of different raw materials have over industry participants.
- Their ability to drive up the prices of the raw materials.



The industry must check the supplier power of the supplier group for each raw material. For analytical purposes, labour groups are also seen as suppliers of effort. Thus, this analytical framework should be applied for supplier power of labour and staff as well.

Supplier power in an industry can be judged by multiple factors. These factors together decide the supplier power in the industry.